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Bank of Ningbo Co. Ltd | Asia Pacific

Revenue and profit growth further accelerated in 2Q26; still our Top Pick

AlphaSignals Earnings Reaction

Strengthens our thesis
Impact to our thesis

↑ Modest upside
Financial results versus consensus

↑ Modest revision higher
Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- Revenue and profit growth accelerated in 2Q26 from a strong 1Q26, up 12.9% and 13.9% yoy, respectively.
- Fee income remained strong, up 25.5% yoy, supported by wealth management fees. This led to 10.1% non-NII growth yoy.
- NII increased a solid 14.1% yoy in 2Q26, despite 6bps qoq lower NIM. Loan balance rose 2.8% qoq, vs. +0.8% industry growth, with continued market share gains.
- Strong retail AUM growth, at 12.1% yoy. PB AUM and PB client number growth was even higher, both up 19% yoy, which acted as a key driver for fee income growth.
- Stable asset quality: NPL ratio flat, at 0.76%, and NPL coverage ratio higher qoq, at 373.4%. Overdue loan ratio was flat HoH, and SML ratio declined qoq.

Continued market share gains: Loan and deposit balance increased 2.8% and 2.0% qoq, respectively. This was quicker than industry growth of 0.8% and 1.2% qoq, respectively. Retail loan growth was 0.3% qoq, vs. a decline in retail credit for the industry as a whole. Nevertheless, bills acted as the main support after deduction in 1Q, which could have weighed somewhat on the qoq NIM trend.

Some buildup of provision buffer on the back of strong PPOP growth despite stable credit quality: The NPL ratio was flat qoq, at 0.76%, and the special mention loan ratio declined 2bps, to 1.04%. The overdue 90 days+ loan ratio rose 3bps HoH, to 0.61% in 1H26, with the OD loan coverage ratio still high, at 463%. This, combined with 18.3% yoy PPOP growth (partly a result of good cost control), supported profit growth despite higher credit cost yoy.

We view the current valuation at 0.88x 2026E P/B as attractive, given double-digit ROE and profit growth. We remain OW and reiterate Bank of Ningbo as our Top Pick.

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Asia Summer School 2026

Bank of Ningbo Co. Ltd (002142.SZ, 002142 CH)

Top Pick

China Financials | China

Stock Rating	Overweight
Industry View	Attractive
Price target	Rmb48.30
Up/downside to price target (%)	46
Shr price, close (Aug 19, 2026)	Rmb32.98
52-Week Range	Rmb33.88-25.91
Sh out, dil, curr (mn)	6,604
Mkt cap, curr (mn)	Rmb217,799.9
EV, curr (mn)	Rmb243,929.9
Avg daily trading value (mn)	Rmb918

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	4.29	4.83	5.56	6.41
EPS (Rmb)\$	4.37	4.81	5.37	6.00
EBITDA (Rmb mn)	35,133	39,316	45,554	52,711
ModelWare net inc (Rmb mn)	28,311	31,922	36,690	42,317
P/E	6.6	6.8	5.9	5.1
P/BV	0.8	0.9	0.8	0.7
RNOA (%)	10.5	11.1	11.5	12.0
ROE (%)	13.6	14.3	14.9	15.4
EV/EBITDA	6.0	6.2	5.4	4.6
Div yld (%)	4.3	4.1	4.7	5.4
FCF yld ratio (%)**	-	-	-	-
Leverage (EOP) (%)	11.2	10.1	9.1	8.1

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

\$ = Consensus data is provided by Refinitiv Estimates

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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[Bank of Ningbo Co. Ltd: Small Gem Shines Big Again \(17 Mar 2026\)](#)

Bank of Ningbo 2Q26 results

Exhibit 1: Bank of Ningbo 2Q26 results

QUARTERLY							
(Rmb mn)	2Q25	3Q25	4Q25	1Q26	2Q26	QoQ	YoY
P&L							
Net Interest Income	12,891	13,770	13,665	14,688	14,706	0.1%	14.1%
Interest Income	26,263	26,716	26,143	26,988	27,147	0.6%	3.4%
Interest Expense	(13,372)	(12,946)	(12,478)	(12,300)	(12,441)	1.1%	-7.0%
Non-Interest Income	5,774	4,046	3,328	5,696	6,360	11.7%	10.1%
Net Commission & Fees	1,388	2,043	1,237	2,575	1,742	-32.3%	25.5%
Others	4,386	2,003	2,091	3,121	4,618	48.0%	5.3%
Operating Income	18,665	17,816	16,993	20,384	21,066	3.3%	12.9%
Operating Expenses	(6,133)	(5,776)	(6,882)	(5,465)	(6,245)	14.3%	1.8%
Pre-Provision Profit	12,532	12,040	10,111	14,919	14,821	-0.7%	18.3%
Provision	(4,411)	(3,442)	(2,485)	(6,006)	(5,571)	-7.2%	26.3%
Others	(50)	(64)	(51)	(14)	(26)	85.7%	-48.0%
PBT	8,071	8,534	7,575	8,899	9,224	3.7%	14.3%
Income Tax	(689)	(794)	(624)	(629)	(768)	22.1%	11.5%
Net Profits	7,382	7,740	6,951	8,270	8,456	2.2%	14.5%
Minority Interest	(27)	(67)	(63)	(89)	(75)	-15.7%	177.8%
NPAT	7,355	7,673	6,888	8,181	8,381	2.4%	13.9%
B/S							
Loans, gross	1,673,213	1,716,823	1,733,314	1,897,045	1,949,958	2.8%	16.5%
Deposits	2,111,558	2,081,237	2,058,755	2,276,163	2,322,705	2.0%	10.0%
Assets	3,470,332	3,578,396	3,628,671	3,859,225	3,948,223	2.3%	13.8%
Interbank assets	121,619	115,592	116,232	92,066	117,418	27.5%	-3.5%
Equity	219,979	217,879	222,499	232,493	242,768	4.4%	10.4%
Selected Ratios							
NIM	1.72	1.76	1.68	1.73	1.67	-6bps	-5bps
Net Fees % of Op Inc	7.44	11.47	7.28	12.63	8.27	5.2ppt	0.8ppt
Cost-Income Ratio	32.86	32.42	40.50	26.81	29.64	2.8ppt	-3.2ppt
Credit Cost (bps)	106.50	81.23	57.62	132.35	115.85	-16bps	9bps
Loan/Deposit Ratio	79%	82%	84%	83%	84%	0.6ppt	4.7ppt
NPL Ratio	0.76	0.76	0.76	0.76	0.76	0bps	0bps
NPL coverage	374%	376%	373%	369%	373%	4.0ppt	-0.8ppt
Loan loss reserve ratio	2.84%	2.85%	2.83%	2.80%	2.83%	3bps	0bps
Core Tier 1 ratio	9.65%	9.21%	9.34%	9.25%	9.53%	28bps	-11bps
CAR	15.21%	14.62%	14.30%	14.02%	14.64%	63bps	-57bps
ROAA	0.85%	0.86%	0.76%	0.85%	0.85%	0bps	0bps
ROAE	13.37%	14.09%	12.38%	14.08%	13.81%	-27bps	44bps

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Bank of Ningbo Co. Ltd (002142.SZ)

We continue to use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. The discount rate is 11.4% in the base case, and we assume 13.7% for second-stage and 13% for long-term ROE with a 58% dividend payout ratio in the long run.

Risks to Upside

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Better-than-expected NIM and asset quality.
- Higher-than-expected non-interest income from stronger wealth management business revenue.

Risks to Downside

- Risks from potential change in leadership.
- Higher default risks from SME and retail business expansion.
- Pricing pressure from destructive competition in the market.

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(as of July 31, 2026)

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Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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Stock Price, Price Target and Rating History (See Rating Definitions)

Bank of Ningbo Co. Ltd (002142.SZ) - As of 08/19/26 GMT in CNY
Industry : China Financials



Stock Rating History: 8/1/21 : NA/A; 8/17/22 : 0/A

Price Target History: 8/17/22 : 40; 9/19/22 : 40.2; 5/12/23 : 44.4; 9/28/23 : 35.8; 12/13/23 : 30.5; 6/5/24 : 34.3; 2/26/25 : 39.2; 4/16/25 : 35.6; 8/5/25 : 41.1; 3/18/26 : 45; 5/26/26 : 48.3

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
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INDUSTRY COVERAGE: China Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/19/2026)
Chiyao Huang		
China International Capital Corp. Ltd. (3908.HK)	O (02/28/2025)	HK\$20.52
China Merchants Securities Co Ltd (600999.SS)	U (09/29/2022)	Rmb17.83
China Merchants Securities Co Ltd (6099.HK)	U (10/29/2024)	HK\$14.73
CITIC Securities Co. (6030.HK)	O (07/10/2026)	HK\$26.14
CITIC Securities Co. (600030.SS)	O (08/07/2025)	Rmb27.15
East Money Information Co Ltd (300059.SZ)	E (09/19/2025)	Rmb18.73
Futu Holdings Ltd (FUTU.O)	O (11/18/2024)	US\$109.42
Galaxy Securities (6881.HK)	E (02/27/2020)	HK\$7.33
Galaxy Securities (601881.SS)	U (09/29/2022)	Rmb11.90
GF Securities (000776.SZ)	E (08/07/2025)	Rmb20.39
GF Securities (1776.HK)	E (01/06/2023)	HK\$17.07
HTSC (601688.SS)	E (09/23/2024)	Rmb18.90
HTSC (6886.HK)	E (09/23/2024)	HK\$16.87
Richard Xu, CFA		
Agricultural Bank of China Limited (601288.SS)	E (05/07/2019)	Rmb6.77
Agricultural Bank of China Limited (1288.HK)	O (10/19/2020)	HK\$6.22
Bairong Inc. (6608.HK)	E (09/09/2025)	HK\$5.55
Bank of Beijing Co Ltd (601169.SS)	E (08/17/2022)	Rmb5.02
Bank of Chengdu Co Ltd (601838.SS)	O (08/17/2022)	Rmb18.41
Bank of China Limited (601988.SS)	E (05/07/2019)	Rmb6.08
Bank of China Limited (3988.HK)	O (01/10/2020)	HK\$5.41
Bank of Communications (3328.HK)	U (05/20/2022)	HK\$7.43
Bank of Communications (601328.SS)	U (09/05/2014)	Rmb7.15
Bank of Hangzhou Co Ltd (600926.SS)	E (08/17/2022)	Rmb16.79
Bank of Ningbo Co. Ltd (002142.SZ)	O (08/17/2022)	Rmb32.98
China CITIC Bank Corporation Limited (601998.SS)	E (04/16/2025)	Rmb8.16
China CITIC Bank Corporation Limited (0998.HK)	O (04/16/2025)	HK\$7.68

China Construction Bank Corp. (0939.HK)	O (10/11/2012)	HK\$9.05
China Construction Bank Corp. (601939.SS)	E (05/07/2019)	Rmb10.55
China Everbright Bank Co Ltd (6818.HK)	U (05/12/2023)	HK\$2.99
China Everbright Bank Co Ltd (601818.SS)	U (05/20/2022)	Rmb3.00
China Merchants Bank (600036.SS)	O (01/07/2019)	Rmb39.15
China Merchants Bank (3968.HK)	O (09/20/2018)	HK\$48.70
China Minsheng Banking Corp. (600016.SS)	O (08/28/2025)	Rmb3.43
China Minsheng Banking Corp. (1988.HK)	O (05/12/2023)	HK\$3.43
Chongqing Rural Commercial Bank (3618.HK)	U (05/12/2023)	HK\$6.48
Hua Xia Bank (600015.SS)	U (06/30/2015)	Rmb6.59
Industrial and Commercial Bank of China (1398.HK)	O (08/09/2013)	HK\$7.39
Industrial and Commercial Bank of China (601398.SS)	E (09/19/2022)	Rmb7.80
Industrial Bank Co. Ltd. (601166.SS)	O (02/25/2019)	Rmb18.24
Lufax (LU.N)		US\$1.45
Ping An Bank (000001.SZ)	O (05/07/2019)	Rmb11.27
Postal Savings Bank of China Co Ltd (1658.HK)	O (11/01/2016)	HK\$4.91
Qifu Technology Inc (QFIN.O)	O (08/25/2020)	US\$11.79
Shanghai Pudong Development Bank (600000.SS)	E (08/05/2025)	Rmb9.08

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* Historical prices are not split adjusted.